Tempus AI, Inc.

TEM NASDAQ

Buy	**$61.09** ▲ 0.64%	12M Price Target **$72.00**	52-Week Range $41.73 – $104.32	Market Cap $10.97B

TEM: Agentic Oncology Launch Meets Insider Selling Overhang

WHAT HAPPENED

- TEM launched a next-gen "agentic" AI platform for oncology research — this matters because it moves them from being a data/diagnostics company to a software-as-a-clinician play, which is where the market pays the biggest multiples. Basically, they're trying to be the AI copilot for cancer doctors, not just the lab tech.
- CEO Eric Lefkofsky dumped ~$1.37M of stock across four tranches on June 29, and Stocktwits is flagging a broader $9.6M CEO-linked sale — that's a real cloud over the "AI as physician" narrative right when they need investors to believe in it.

WHY IT MATTERS

Here's the tension: the product news is genuinely bullish (agentic AI in oncology is a hot theme and options flow is heavily skewed to calls at 0.36 put/call), but the CEO selling into that narrative is the kind of thing that caps near-term upside. The stock is only at 31% of its 52-week range despite the launch — that tells me the market is discounting the hype because insiders keep hitting the bid. What to watch: if Lefkofsky's selling was pre-scheduled (10b5-1 plan), the overhang clears in a few weeks and the stock can breathe; if it continues discretionarily, this stays stuck in the $55-65 range no matter how good the product announcements sound.

POLICY & POLITICAL WATCH

The big policy tailwind for TEM is the ongoing Cancer Moonshot funding and NIH precision medicine appropriations — federal dollars flowing into genomic sequencing and AI-driven cancer research directly feed TEM's data business. Watch the FY2027 HHS budget negotiations this fall: any cuts to NIH or CMS reimbursement rates for molecular diagnostics (specifically the Medicare Clinical Lab Fee Schedule) would hit TEM's core revenue line. On the flip side, the FDA's evolving framework for AI/ML-based medical devices is moving toward a "predetermined change control plan" — friendly to TEM because it lets them update algorithms without refiling, a moat smaller competitors can't afford.

IS IT EXPENSIVE?

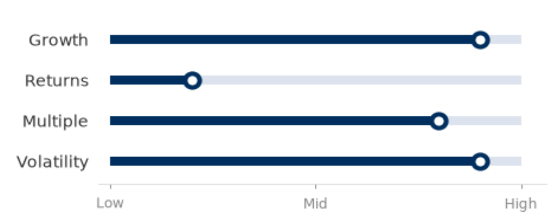
TEM trades around $11B market cap on ~$1.24B in expected 2026 revenue — that's investors paying about $9 for every $1 of sales, which is rich for a company still losing money but reasonable for 30%+ growth in a hot AI-healthcare category. Compared to profitable diagnostics peers trading at 5-6x sales, you're paying a premium for the AI story and optionality; compared to pure AI names at 15-20x sales, it's actually cheap. Justified only if the agentic platform actually monetizes — otherwise this is a $45 stock.

WHAT COULD GO WRONG

Key Data

Key Data	
Price (USD)	**$61.09**
12M Price Target	**$72.00**
Upside / (Downside)	**+17.9%**
Market Cap	**$10.97B**
FY2026E Revenue	**$1,240M**
FY2027E Revenue	**$1,610M**
FY2026E EPS	**($1.35)**
FY2027E EPS	**($0.75)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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TEM — Tempus AI, Inc. | July 07, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$68.00**	$62.00	**$54.00**
6 Months	**$82.00**	$68.00	**$48.00**
1 Year	**$95.00**	$72.00	**$42.00**
2 Years	**$130.00**	$85.00	**$35.00**
5 Years	**$220.00**	$130.00	**$25.00**
10 Years	**$450.00**	$220.00	**$18.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.53% today, +2.30% over 5 days) — money is rotating in as investors bet on defensive growth ahead of a potentially slower economy, and biotech/diagnostics specifically benefit from stable NIH funding. Real Estate and Utilities catching a bid too — classic "rates might fall" trade.

COOLING OFF: Nothing dramatically breaking, but Comm Services strength (+3.22% 5D) suggests some rotation OUT of pure mega-cap tech INTO healthcare AI plays like TEM.

ROTATION WATCH: The setup where healthcare AND AI both work is rare and it's happening now — TEM sits at that intersection, which is why it's outperforming the broader diagnostics group.

RELATED PLAY: If TEM's agentic AI thesis works, the second-order winners are the cloud infrastructure providers (AWS, Azure via MSFT) hosting all that genomic data, plus specialty pharma names that partner with TEM for drug discovery.

WHO'S WINNING IN THIS SPACE?

- RXRX (Recursion Pharmaceuticals): AI-drug discovery peer benefiting from same thematic tailwind — investors are hunting for "AI + healthcare" pure plays.
- VEEV (Veeva Systems): Healthcare software winning as hospitals digitize; steadier profile than TEM but similar tailwind.

TEM CONTEXT: TEM is roughly middle-of-the-pack in the AI-healthcare cohort — the CEO selling is the anchor keeping it from breaking out with peers. Clear that overhang and it likely closes the gap; keep selling and it lags.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the story and the sector tailwind, but the cluster insider selling makes me cautious about pounding the table here.

POSITION SIZE: 2-4% of portfolio — real upside but the volatility (9/10) and cash burn mean this isn't a "back up the truck" name.

ENTRY POINTS: Add on pullbacks to $52-56, which is the post-earnings support zone; chase above $65 only if volume confirms.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q3 earnings showing agentic platform revenue contribution and confirmation NIH/CMS funding stays intact through the budget cycle.

WHEN TO BAIL: If revenue growth drops below 25% YoY, if the CEO keeps selling into strength, or if CMS announces reimbursement cuts on molecular diagnostics — any of those three and I'm out.

HEDGING: Pair it with a profitable diagnostics name like Exact Sciences (EXAS) so if the "AI healthcare" theme cools, your profitable peer holds up while TEM corrects — basically owning the story AND the substance.